

How to Read a Contractor Quote (Without Getting Gouged)

A line-by-line guide to understanding what you're actually paying for

You've got a contractor quote in hand. It's a mess of numbers, materials you've never heard of, and a total at the bottom that makes you wince.

Is it fair? Is it high? How would you even know?

This guide walks you through reading a contractor quote like someone who's seen thousands of them.

The Anatomy of a Good Quote

A professional quote should have these sections:

1. Scope of Work

This describes WHAT they're doing. Not just "roof replacement" — specifics: - Tear off existing shingles (1 layer or 2?) - Install ice & water shield at eaves and valleys - Install synthetic underlayment - Install 30-year architectural shingles - Replace all flashing, drip edge, and ridge vents - Cleanup and disposal

Red flag: Vague scope like "complete roof job" with no details. This is how change orders happen.

2. Materials Section

Should list: - Product names and types (not just "shingles") - Quantities (squares for roofing, square feet for flooring) - Unit prices

Example:

Architectural shingles (GAF Timberline HDZ): 24 squares @ \$120/sq = \$2,880
Synthetic underlayment: 24 squares @ \$15/sq = \$360
Ice & water shield: 5 squares @ \$35/sq = \$175

Red flag: No quantities or unit prices. Just "materials: \$5,000." You have no idea if they're using quality products or marking up cheap ones.

3. Labor Section

Should show: - What tasks are included - Either hours/rates OR flat labor cost by task

Example:

Tear-off and prep: \$1,800
Installation: \$3,800
Cleanup and disposal: \$500
Total labor: \$6,100

Red flag: No labor breakdown at all. "Labor included" hides whether they're padding this line.

4. Additional Items

Things like: - Permits (if required) - Dumpster rental - Equipment rental - Travel/delivery fees

These should be itemized, not buried.

5. Payment Terms

- Deposit amount (should be 10-33%, NOT 50% +)
- Progress payments
- Final payment terms

Red flag: 50% or more upfront. Reputable contractors don't need half your money before starting.

The Math Check

Want to sanity-check a quote? Here's a rough formula:

Materials cost × 2.5 to 3.5 = Total project cost

This accounts for labor, overhead, and profit. So if materials legitimately cost \$4,000, expect a total quote of \$10,000-14,000.

If they're quoting \$20,000? Ask questions.

What's Missing = What You'll Pay Later

Common items contractors "forget" to include:

- **Permit costs** — often \$200-500, legally required
- **Disposal fees** — dumpsters cost \$400-600
- **Code-required upgrades** — discovered "during the job"
- **Flashing and trim work** — the details that make it watertight
- **Site prep and cleanup** — assumed, but not always included

Get clarification on all of these BEFORE signing.

Questions to Ask

1. "Can you break out materials and labor separately?"
2. "What's your markup on materials?" (15-30% is normal)

3. "What happens if you find damage behind the [siding/shingles/drywall]?"
4. "Is this quote good for 30/60/90 days?"
5. "What's NOT included that I should know about?"

A legitimate contractor will answer these without getting defensive.

The Bottom Line

A good quote is transparent. You should be able to trace where every dollar goes.

If a quote is vague, rushed, or pressured — that's a red flag bigger than the price itself.

And if you want a second opinion on whether your quote is fair? That's exactly what we're building.

UnGouge analyzes contractor quotes against independent market data. One quote. Real numbers. No BS. [Learn more →](#)

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